

Name :

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## Simple Interest

### Understanding

Annie invests \$22 000 at a rate of 4% p.a. for 27 months. Calculate the simple interest and the amount available at the end of 27 months.

A finance company charges 14% p.a. simple interest. If Lyn borrows \$2000 to be repaid over 2 years, calculate her total repayment.

Zac invests \$3500 at 8% p.a. simple interest, for a period of time, to produce \$210 interest. For how long did he invest the money?

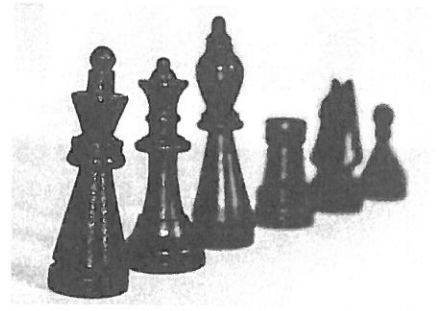
Calculate the principal amount which earns \$500 simple interest over 3 years at a rate of 8% p.a. Round to the nearest cent.

### Problem Solving

Wendy wins \$5000 during a chess tournament. She wishes to invest her winnings, and has the two choices given below. Which one gives her the greater total at the end of the time?

Choice 1: 8.5% p.a. simple interest for 4 years

Choice 2: 8% p.a. simple interest for 54 months



Charlotte borrows \$9000 to buy a second-hand car. The loan must be repaid over 5 years at 12% p.a. simple interest. Calculate:

- a the total amount to be repaid
- b the monthly repayment amount if the repayments are spread equally over the 5 years